Indian Agriculture at Independence

India cultivated approximately 110 million hectares of land at the time of Independence, which was the largest area under cultivation in any country in the world. It used more than 85 per cent of its area under agriculture to produce about 50 million tonnes of foodgrains. Land ownership was not evenly distributed. More than 70 per cent of the people employed in agriculture worked as peasants or labourers. They worked very small tracts of land, more often than not as unrecognized tenants. In fact, the farmers ended up typically converting their labour into food. Their lot was truly miserable. Indian agriculture was very traditional and unproductive and the country did not produce enough foodgrains to feed its teeming millions.

Droughts and famines occurred regularly. The inability of the government and people to move food from surplus regions to deficit regions made parts of India face famines in years when there was no overall shortage of food in the country. Chronic food shortages had made the British government assume control over food production, supply, trade and commerce. What we know today as the Essential Commodities Act, 1955 (ECA-1955), was first enacted in 1939 under the Defence of India Rules, which the British government converted into the Essential Supplies Act, 1946, after World War II was over.

The regulated agriculture produce markets, which we know as agriculture produce market committees (APMCs) or *mandis* today made their appearance as far back as the 1880s.

Seven states had agriculture produce marketing laws in 1950. Most agriculture produce still got consumed locally and not more than 10 per cent of foodgrains were traded in regulated markets in the 1950s.